LOUISIANA PUBLIC SERVICE COMMISSION

ORDER NUMBER U-36516

SOUTHWEST LOUISIANA ELECTRIC MEMBERSHIP CORPORATION, NEXTERA ENERGY MARKETING, LLC, AND BEAUREGARD SOLAR, LLC, EX PARTE

In re: Joint application for approval of long-term power supply agreements.

(Decided at the October 18, 2023 Business and Executive Session.)

ORDER

(Public Redacted Version)

I. INTRODUCTION

Southwest Louisiana Electric Membership Corporation ("SLEMCO", or "the Cooperative") is an electric membership cooperative association subject to the jurisdiction of the Louisiana Public Service Commission ("LPSC" or "Commission"). SLEMCO provides electric service to approximately 114,000 meters in the parishes of Acadia, Avoyelles, Cameron, Evangeline, Iberia, Lafayette, St. Landry, St. Martin, and Vermilion, Louisiana. Currently, SLEMCO serves its members through a full requirements Power Supply and Service Agreement ("PSSA") with Louisiana Generating LLC ("LaGen"), a subsidiary of Cleco Cajun LLC ("Cleco Cajun") that expires on March 31, 2025, and a wholesale power purchase contract for hydroelectric power through the Southwestern Power Administration ("SWPA") on behalf of the United States Department of Energy ("US DOE") that is expected to be renewed when it expires in 2032.

In this proceeding, SLEMCO seeks to replace the LaGen PSSA with a full-requirements wholesale power supply and service agreement ("PSA") with NextEra Energy Marketing, LLC ("NEM") for a period of 9.75 years to begin on April 1, 2025 ("NEM PSA"), and the Beauregard Solar project, a 200 MW solar generating resource owned by NEM affiliate, Beauregard Solar, LLC ("Beauregard Solar"), to be located in Beauregard Parish (collectively, the "NextEra Agreements") and from which SLEMCO will purchase 100% of the capacity and energy through a 25-year power purchase agreement (the "Beauregard Solar PPA"). If approved, the NextEra Agreements will supply all of SLEMCO's capacity and energy requirements, beginning on April 1, 2025, net of the SWPA contract. SLEMCO, NEM, and Beauregard Solar ("Joint Applicants") seek approval of the NextEra Agreements pursuant to the Commission's 1983 General Order.[1]

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[1] LPSC General Order dated September 20, 1983 (*In re: In the Matter of the Expansion of Utility Power Plant: Proposed Certification of New Plant by the LPSC*), as amended by LPSC General Order (Corrected) dated May 27, 2009 (*In re: Possible Modifications to the September 20, 1983 General Order to allow (1) for more expeditious certifications of limited-term resource procurements and (2) an exception for annual and seasonal liquidated damages block energy purchases*) ("1983 General Order").

This approval is requested no later than the Commission's October 2023 Business and Executive Session ("B&E").

II. COMMISSION AUTHORITY

A. Louisiana Constitution and Statutes

The Commission exercises jurisdiction in this proceeding pursuant to Article IV, Sec. 21 of the Louisiana Constitution, and La. R.S. 45:1163(A)(1) and La. R.S. 45:1176.

La. Const. Art. IV, Sec. 21 provides in pertinent part:

> The Commission shall regulate all common carriers and public utilities and have such other regulatory authority as provided by law. It shall adopt and enforce reasonable rules, regulations, and procedures necessary for the discharge of its duties, and perform other duties as provided by law.

La. R.S. 45:1163 provides in pertinent part:

> A. (1) The Commission shall exercise all necessary power and authority over any street, railway, gas, electric light, heat, power, waterworks, or other local public utility for the purpose of fixing and regulating the rates charged or to be charged by and service furnished by such public utilities.

La. R.S. 45:1176 provides in pertinent part:

> The Commission…shall investigate the reasonableness and justness of all contracts, agreements, and charges entered into or paid by such public utilities with or to other persons, whether affiliated with such public utility or not.

B. Applicable Commission Orders

1. 1983 General Order

Since 1983, the Commission has required regulated electric utilities to obtain certification prior to the construction or acquisition of new generating resources. The 1983 General Order provides, in pertinent part, that:

> No electric public utility subject to the jurisdiction of the Commission shall commence any on-site construction activity or enter into any contract for construction or conversion of electric generating facilities or contract for the purchase of capacity or electric power, other than emergency or economy power purchases, without first having applied to the Commission for a certification that the public convenience and necessity would be served through completion of such project or confection of such contract. … .[2]

[2] 1983 General Order, *supra* note 5, at ordering paragraph 1.

The 1983 General Order also requires that a utility seeking certification of a generation construction project provide the Commission with specific data to be used by the Commission in deciding the utility's application, as follows:

> Applications submitted pursuant to this order shall include the specific data utilized by the utility in justification of the generation project or purchased power agreement, an itemized projection of the total costs, the scheduled completion date with appropriate time schedules for the percentage of the total project to be completed by specific target dates, and, in cases of purchased power or capacity agreements, the proposed contract in its entirety.[3]
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> A utility receiving approval or certification for a generation project or purchased power or capacity agreement shall notify the Commission immediately when it is determined that project or contract costs will exceed that stated in the application or the completion date for the commercial operation is extended.[4]

2. Market-Based Mechanism Order

The 1983 General Order is supplemented by the Market-Based Mechanism ("MBM") Order,[5] which requires utilities to employ a request for proposals ("RFP") competitive solicitation process, the results and analysis of which serve as part of the justification required by certification under the 1983 General Order. The MBM Order was enacted in 2002 and amended in 2004, 2006, 2007, and 2008, with the following language found in each version of the MBM Order:

> The electric utility shall conduct its planning and RFP process with the objective being the provision of reliable electric service at [the] lowest reasonable cost. The selection of projects or purchase power contracts also may consider public interest criteria such as: project or contract risk attributes; fuel diversity; and other factors deemed relevant.[6]

According to the MBM Order, the RFP process provides the structure and use of the wholesale market while preserving the utilities' traditional responsibility for supply planning and acquisition. The MBM Order prescribes procedures to be followed by the utility in conducting the RFP process and presenting the results of that process to the Commission Staff, including advance notification, an informational filing containing supporting information and documentation of the need for and types of resources to be acquired or constructed, the RFP schedule, methodology, and

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[3] *Id.* at ordering paragraph 2.
[4] *Id.* at ordering paragraph 3.
[5] LPSC General Order dated October 29, 2008 (*In re: Possible suspension of, or amendments to, the Commission's General Order dated November 3, 2006 (Market Based Mechanisms Order) to make the process more efficient and to consider allowing the use of on-line auctions for competitive procurement*) ("MBM Order").
[6] MBM Order, *supra* note 9, at ordering paragraph 11. *See also* LPSC General Order dated April 10, 2002 at ordering paragraph 9; LPSC General Order dated February 16, 2004 at ordering paragraph 9; LPSC General Order dated November 3, 2006 at ordering paragraph 10; and LPSC General Order dated April 26, 2007 at ordering paragraph 10.

draft documents.[7]

III. PROCEDURAL HISTORY

In the Fall of 2020, SLEMCO joined with Concordia Electric Cooperative Inc. ("Concordia") and Pointe Coupee Electric Membership Corporation ("PC Electric") (collectively, "the Cooperatives"), to conduct an RFP process in accordance with the Commission's MBM Order, with the assistance of Daymark Energy Advisors, Inc. ("Daymark") for the purpose of replacing their long-term full requirements contracts. The RFP process was docketed as Commission Docket No. X-35741 and United Professionals Company, LLC, was hired to assist the Commission Staff with oversight of the RFP process and any resulting certification proceeding. At the conclusion of the RFP process, SLEMCO, along with NEM and Beauregard Solar ("Joint Applicants"), filed a *Joint Application for Approval of Power Supply Agreements* ("Application") with the Commission on August 29, 2022, along with the direct testimonies and exhibits of the following witnesses:

1) James Laque, Director of Engineering for SLEMCO, providing an overview of the cooperative and the Application;

2) Kathleen Kelly, Vice President and Principal Consultant for Daymark, providing an overview of the RFP process and explaining how the selected agreements comply with applicable LPSC General Orders and addresses with the selected agreements are in the best interest of SLEMCO's members and in the public interest;

3) Louisa Lund, Senior Consultant, Daymark, providing additional information regarding the RFP process and selection, including the qualitative evaluation and how the quantitative and qualitative evaluations led to the resource selections;

4) Douglas Smith, Vice President and Principal Consultant to Daymark, providing testimony regarding the quantitative evaluation and other issues related to the RFP process and resource selections;

5) Michael Toal, Vice President of Power Origination for NEM, providing an overview of NEM, the services to be provided under the PSA, and the provision of similar services for other entities, as well as the benefits to SLEMCO of the NEM PSA.

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[7] MBM Order, *supra* note 9, ordering paragraphs 8-11, 13-14.

6) Robert Michalczak, Vice President, Renewable Origination and Development for Next Era Energy Resources, LLC ("NEER"), providing an overview of NEER and its capabilities to construct, operate, and maintain the Beauregard Solar project, and the services Beauregard Solar will provide under the Beauregard Solar PPA.

Notice of the Application was published in the Commission's Official Bulletin on September 2, 2022, with an intervention period of 15 days. Cleco Cajun, LLC ("Cleco Cajun") and Entergy Louisiana, LLC ("ELL"), timely intervened in the proceeding. The Association of Louisiana Electric Cooperatives, Inc. ("ALEC") and EP2 Consulting, LLC requested interested party status. Nearly identical applications were simultaneously filed by Concordia and PC Electric and docketed as U-36514 and U-36515, respectively. On September 26, 2022, the Joint Applicants filed an unopposed motion requesting a consolidated status conference in Commission Dockets No. U-36514, U-36515 and U-36516. The motion was granted and a consolidated status conference was held on October 3, 2022. At the status conference, the parties to Commission Dockets No. U-36514, U-36515 and U-36516 agreed to procedural schedules ending in a joint hearing set to commence on May 30, 2023.

In accordance with the procedural schedule in this proceeding, ELL filed the direct testimonies of Phillip R. May, Samrat Datta, Daniel Kline, and John P. Hurstell, and Commission Staff filed the direct testimony of R. Lane Sisung on January 20, 2023. On February 28, 2023, ELL filed the cross-answering testimonies of Messrs. Datta and Hurstell, and Commission Staff filed the cross-answering testimony of Mr. Sisung. On April 13, 2023, the Joint Applicants filed the rebuttal testimonies of Ms. Lund and Mr. Smith, and with leave from the Tribunal, the Joint Applicants filed the rebuttal testimonies of Mr. Michalczak, Mr. Toal, and Mr. Stewart on April 19, 2023. The Joint Pre-Hearing Statement and Pre-Hearing Briefs were filed on May 19, 2023.

At the hearing, the Joint Applicants in Dockets No. U-36514, U-36515, and U-36516 presented the live testimonies and accompanying exhibits of Mr. Laque, Myron Lambert, Mr. Bailey, Ms. Lund, Mr. Smith, Mr. Michalczak, Mr. Toal, and Mr. Stewart. ELL presented the testimonies of Messrs. Datta, Hurstell, and Kline. Lastly, the Commission Staff presented the testimony of Mr. Sisung. The testimony and accompanying exhibits of Ms. Kelly and Mr. May were accepted into evidence without cross-examination in accordance with the agreement of the parties. Cleco Cajun did not present any live witnesses at the hearing, and did not cross-examine any witnesses. As agreed upon at the hearing, the parties had two weeks from the time the

confidential transcript was emailed to counsel to file post-hearing briefs. Accordingly, the Joint Applicants, Commission Staff, and ELL submitted post-hearing briefs on July 20, 2023. A proposed recommendation and draft order was issued by the administrative law judge on September 14, 2023 ("Proposed Recommendation"). Timely exceptions to the Proposed Recommendation were filed by the Joint Applicants, ELL, and Commission Staff on September 25, 2023. Thereafter, the *Final Recommendation of the Administrative Law Judge and Draft Order* ("Final Recommendation") was issued on October 6, 2023. The Joint Applicants and ELL filed timely requests for oral argument. The Commission considered the Final Recommendation at its October 18, 2023 Business and Executive Session ("B&E").[8]

IV. FINDINGS OF FACT

Background

1. SLEMCO is an electric membership cooperative association that provides retail electric service to approximately 114,000 meters in Acadia, Avoyelles, Cameron, Evangeline, Iberia, Lafayette, St. Landry, St. Martin and Vermilion Parishes in Louisiana within the Midcontinent Independent System Operator ("MISO") regional transmission organization ("RTO") Zone 9.

2. SLEMCO currently serves its customers almost entirely through the LaGen PSSA, save for a small portion that is obtained through a contract with the SWPA. At issue in this proceeding is the portion of its supply that is currently provided through the LaGen PSSA.

3. The LaGen PSSA is a full-requirements contract that is set to expire on March 31, 2025.

4. In the Fall of 2020, Concordia, PCEMC, and SLEMCO provided notice to the Commission of their intent to initiate an RFP in anticipation of the expiration of their full-requirements contracts.

RFP Process

5. The Cooperatives initiated the RFP process before the LPSC in September 2020 and the matter was docketed as Commission Docket No. X-35741.[9]

6. The Cooperatives drafted the RFP with the assistance of Daymark, an independent consulting firm with which the Cooperatives had a long-standing relationship in order to provide the necessary expertise to conduct the RFP and make the resource selection(s).[10]

7. Daymark undertook the RFP process on behalf of all three Cooperatives but with the intent to obtain individual cooperative bid responses, and with input from each of the Cooperatives' management.[11]

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[8] Although the last several sentences of this paragraph were not included in the draft order, they reflect the procedural history following the issuance of the Proposed Recommendation and are included here for completeness

[9] Docket No. X-35741, Concordia Electric Cooperative, Inc., Pointe Coupee Electric Membership Corporation and Southwest Louisiana Electric Membership Corporation. In re: Request for Proposals for Power Purchases Contracts and/or Generating Capacity Pursuant to the Commission's Market Based Mechanism Order.

[10] Hr'g Tr., May 30, 2023, 50:6-7.

[11] Hr'g Exh. U-36514 Joint Applicants-5 (Kelly Dir. Test.) 3:17-19.

8. In accordance with the procedures in the MBM Order, the draft RFP document was issued in late September 2020, along with a press release that was republished on the website for Utility Dive, leading to a robust response to the RFP.[12] A Technical and Bidders' Conference was held in November, and subsequently, Staff and prospective bidders had an opportunity to provide questions and comments resulting in a final RFP on December 23, 2020. Revised final RFPs were posted on January 7, 202,1 and January 18, 2021, and bids were due March 12, 2021.[13]

9. Daymark conducted a qualitative analysis led by Dr. Lund that focused on seven categories of evaluation including 1) project development feasibility; 2) other resource-specific risks; 3) bidder qualifications; 4) community and environmental impacts; 5) flexibility; 6) contract considerations; and 7) other risk. No bidders were eliminated as a result of the qualitative analysis, but it assisted Daymark in identifying areas of concern for further exploration during negotiations.[14]

10. Daymark also conducted a quantitative analysis using a Microsoft Excel-based model designed to evaluate and compare proposals in the same category.[15]

11. Both the qualitative and quantitative analyses were done over three phases: In phase one, bids were reviewed for completeness. In phase two, the bids were rated according to their pricing, risks and benefits. The focus in the second phase quantitative analysis was the "all-in" cost, or "levelized dollars per megawatt-hour", which Daymark calculated by utilizing a pricing model that measured the net present value, the levelized cost of energy, if appropriate, and the levelized cost of capacity at varying lengths of time given the variances among the bids.[16]

12. In the third phase, the focus was on the ability of each portfolio to meet all of the Cooperatives' power supply needs under a range of market conditions, and ultimately, a final shortlist of full requirements bids was developed.[17]

13. Mr. Laque and Daymark then met with the remaining bidders to engage in contract negotiations, ultimately selecting the NEM PSA and Beauregard Solar PPA.[18]

14. The Cooperatives complied with and met the requirements of the MBM Order.

NEM PSA

15. The NEM PSA, combined with the Beauregard Solar PPA, requires NEM to supply all energy, capacity and MISO products required to satisfy SLEMCO's obligation to serve 100% of its buyer load, in conjunction with the SWPA contract. Acting as the market participant for the Cooperatives, NEM will secure capacity and energy based on prices to be fixed at specified intervals.[19]

16. As of the effective date of the NEM PSA, the price for 30% of SLEMCO's energy and capacity needs through 2034 is fixed.[20] This represents the "Baseload Amount" as well as the expected purchases under the SWPA Contract and the 200 MW Beauregard Solar PPA.

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[12] Hr'g Exh. U-36514 Joint Applicants-5 (Kelly Dir. Test.) 5:9-11.
[13] Hr'g Exh. U-36514 Joint Applicants-5 (Kelly Dir. Test.) 4:7-12.
[14] Hr'g Exh. U-36514 Joint Applicants-11 (Dr. Lund Dir. Test.) 4:1-22; 5:1-7.
[15] Hr'g Exh. U-36514 Staff-7 (Sisung Dir. Test.) 9:2-3.
[16] Hr'g Exh. U-36514 Joint Applicants-11 (Dr. Lund Dir. Test.) 6:1-10.
[17] Hr'g Exh. U-36514 Joint Applicants-11 (Dr. Lund Dir. Test.) 6:1-10.
[18] Hr'g Exh. U-36514 Joint Applicants-11 (Dr. Lund Dir. Test.) 9:21-22.
[19] Hr'g Exh. U-36514 Joint Applicants-18 (Toal Dir. Test.) 11:19-24, 12:1-2.
[20] Hr'g Tr. May 31, 2023, 105:4.

17. Although the 30% fixed portion (aside from the SWPA Contract and the Beauregard Solar PPA) has not yet been sourced, NEM has actively engaged in discussions with market participants in Louisiana regarding its obligations under the NEM Agreements in this case and those of the other Cooperatives.[21] Regardless, since SLEMCO has locked in a price, NEM bears the capacity pricing risk for the fixed portion.[22]

18. For the remainder of the Cooperative's requirements, or "non-base load energy volumes", there is a biennial pricing mechanism whereby NEM will obtain two quotes from suppliers and NEM will have the option of either matching the one selected by the Cooperative or to add a fee associated with the risk associated with purchases from a third party. Should NEM not procure any quotes, it will be obligated to provide a price for the remainder of the Cooperative's requirements.[23] In this scenario, SLEMCO bears the price risk until the price is locked in.[24]

19. Similar to the NEM PSAs with 1803 Electric Cooperative, Dixie Electric Membership Corporation, and Jefferson Davis Electric Cooperatives[25], the NEM PSA with SLEMCO does not limit the use of the MISO Planning Resource Auction ("PRA") by NEM. However, NEM does not plan to procure the Cooperatives' requirements in the PRA. In fact, Mr. Toal, Vice President of Power Origination for NEM, testified that he would expect "a fairly high, if not 100 percent, of the ZRCs required to satisfy the obligations of the [Cooperatives] will be procured ahead of the auction", but admitted that NEM purchased at least some of its capacity obligations to counterparties in the 2016-2017 and 2021-2022 planning resource auctions.[26]

Beauregard Solar PPA

20. The Beauregard Solar PPA is a 200 MW solar facility located in Beauregard Parish, Louisiana, that will supply energy and capacity to SLEMCO, will provide $26 million in property tax revenues, will create 250-300 temporary construction jobs, and will create one to two permanent operation and maintenance jobs.[27]

[redacted]The Beauregard Solar PPA is a 25-year PPA with a projected cost in excess of $200 million, and a base contract price of $[redacted]

22. The Beauregard Solar PPA has provisions that allow for automatic price increases and decreases [redacted]. These price changes may occur without any Commission approval, despite testimony by the Cooperative at the hearing that it will defer to the Commission Staff.[28] In fact, Mr. Sisung believes that [redacted].[29] Practically speaking, most of these costs can be determined prior to the start of project construction.[30] If the Commission were to approve the Beauregard Solar PPA as

[21] *Id.,* 108:13-19.
[22] Hr'g Exh. U-36514 Joint Applicants-19 (Toal Rebuttal) 4:5-16.
[23] Hr'g Tr., May 31, 2023, 107:407.
[24] Hr'g Exh. U-36514 Joint Applicants-19 (Toal Rebuttal) 5:3-5.
[25] *See* LPSC Order Nos. U-35927, U-36133 and U-36135.
[26] Hr'g Tr., May 31, 2023, 110:1-6.
[27] Hr'g Exh. U-36516 Joint Applicants-14, 6:13-17.
[28] This clarification is made in response to the *Joint Applicants' Exception to Proposed Recommendation* (pp. 2-4),
[29] Hr'g Exh. U-36514
[30] Hr'g Exh. U-36514 Joint Applicants-17 (Michalczak HSPM Rebuttal) pp. 4-5.

currently drafted, there will be no pre-approval by the Commission when those provisions are triggered.

23. The Commission Staff's allegations regarding the Beauregard Solar PPA being asymmetrical are directed at the failure of the Beauregard Solar PPA to contain a provision for price decreases should savings be realized as a result of the Inflation Reduction Act ("IRA"). Absent an amendment providing for the flow-through of any benefits gained from the IRA, the Commission Staff recommends rejection of the Beauregard Solar PPA.[31] The Commission Staff did not quantify any anticipated benefits; nor did Mr. Michalczak do so, given that the IRA was not signed into law until after the Beauregard Solar PPA was executed, and "some of the guidance from the IRS [was] not completely published" as of the time of the hearing.[32]

24. Mr. Michalczak testified that Beauregard Solar had not been presented with any amendment language to consider and that an amendment would cause an increase in the price of the contract. Mr. Michalczak seemed to suggest that such an amendment would not be possible without a re-negotiation of the contract to include risks due to upward pressure on the solar industry since 2019, "due to some things like COVID-19, the Department of Commerce investigation into countervailing duties and circumvention, other things like the Uyghur Forced Labor Act" have resulted in more risk to developers in renewable industries. It is for this reason that Beauregard Solar is unwilling to take on additional risk.[33]

25. The Beauregard Solar PPA, unlike the NEM PSA, would directly result in the construction of physical generating capacity in Louisiana.

Resource Adequacy

26. Resource adequacy is associated with the long-term ability to meet demand with sufficient supply-side and demand-side resources.[34]

27. MISO Chief Executive Officer, John Bear, gave a presentation at the Commission's November 2022 B&E, wherein he advised the Commission that "MISO Zone 9 is tight and forecasted to be short soon given the economic growth and anticipated unit retirements in the region."[35]

28. In his presentation, Mr. Bear discussed MISO's Reliability Imperative, which is a multi-pronged approach to long-term resource adequacy planning in MISO, including market redefinition and seasonal accreditation, and long-term transmission planning, as well as the addition of physical resources.[36]

29. Mr. Smith, Vice President and Principal Consultant at Daymark, testified that the recent PRA results do not reflect Mr. Bear's view of the market. Mr. Smith testified that he disagreed with Mr. Bear regarding the tightness of capacity in Zone 9 and that Daymark's capacity price forecast was developed from market information gathered from the RFP process as well as other market intelligence Daymark has access to through its experience in the industry.[37]

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[31] This finding was edited to more specifically identify the "symmetrical treatment" sought by the Commission Staff.
[32] Hr'g Tr. May 31, 2023, 84:19-20.
[33] Hr'g Tr. May 31, 2023, 91:7-11.
[34] *See* Hr'g Exh. Staff-7, Exhibit RLS-006 (Resource Adequacy Primer for State Regulators, National Association of Regulatory Utility Commissioners) at 6.
[35] Hr'g Exh. ELL-13, *in globo,* Presentation of Mr. Bear, November 17, 2022, at 2.
[36] *Id.*, at 5.
[37] Hr'g Tr. May 31, 2023, 55: 4-18, 56:1-20, 57:1-11.

30. A month prior to the hearing in this matter, however, Mr. Smith was part of a team that advised the Manitoba Commission in a report that "the capacity situation has tightened dramatically in recent years, with an impending shortage expected MISO-wide." Mr. Smith explained this by stating that the conditions he was referring to were caused by MISO North and he does not believe the market results indicate that MISO Zone 9 will be short soon, but he admits that he has not done an independent forecast.[38]

31. NEM did not prepare any forecasts on the future availability of capacity.[39]

32. Rather, Daymark relied on market intelligence gained from the bid process as well as data obtained through industry experience about market capacity prices to set a middle-of-the road capacity price assumption. Daymark considers this information proprietary and did not provide the sources of this data.

33. The integrated resource plans ("IRPs") of ELL and Cleco Power were submitted into evidence by ELL, and both reflect coal unit retirements, among other things. But neither of these plans has been accepted by the Commission and each contains corporate decisions independent of resource adequacy such as Entergy's public commitment to no longer burn coal plants past 2030 due to a corporate decision to adopt carbon goals.[40]

34. ELL's submission of a bid to serve the Cooperative loads with a "slice of system product" belies its concerns with regard to the availability of capacity over the duration of the NEM PSA.[41]

35. The process for an LPSC-regulated utility to obtain certification and construct a generating resource to serve its customers takes approximately 2-5 years.[42]

Commission Staff's Conditions

36. Commission Staff recommended that the NEM PSA be certified subject to the following conditions:

    a. *Joint Applicants accept all risk of changes in Commission rules, specifically including a potential requirement for owned and/or contracted for generation being procured to meet future capacity needs, without the benefit of grandfathering;*

    b. *Joint Applicants acknowledge and agree that any future changes made to the [NEM] PSA based on changing regulations is subject to Commission review and approval, including without limitation: at the conclusion of Docket No. R-36263, the Joint Applicants will make a filing with the Commission so that the Commission may consider the impacts of its decision in Docket No. R-36263 on its decision in this docket, on the PSA and whether or not any amendment is required, including but not limited to, changes to the PSA, changes affecting the pricing mechanism for the sale of capacity and/or energy and/or deliverability or reporting requirements, so that the Commission may take any action it deems appropriate;*

    c. *Joint Applicants retain the obligation to prudently manage the [NEM] PSA;*

    d. *Joint Applicants agree to annually report to the Commission information related to all decisions made to price and/or procure capacity to meet SLEMCO's future load*

[38] Hr'g Tr. May 31, 2023, 57:17-20; 58:1-20.
[39] Hr'g Tr., May 31, 2023, 111:13-19; 112:1-20.
[40] Hr'g Tr., June 1, 2023, 51:15-19.
[41] Hr'g Tr., June 1, 2023, 56:4-10.
[42] Hr'g Tr., June 1, 2023, 51:1-5.

needs, including the information outlined in the pre-filed Direct Testimony of Staff witness Lane Sisung HSPM confidential version on pp. 55-58.

e. *All prudently incurred costs associated with the [NEM] PSAs are deemed eligible for rate recovery by SLEMCO subject to Commission review and further determination at a later date in a separately-docketed rate proceeding coterminous with the expiration of and removal from rates of the costs associated with the current power supplier.*

V. ANALYSIS

The Commission's 1983 General Order requires that Commission-regulated electric public utilities seek certification that the public convenience and necessity will be served prior to entering into contracts for the purchase of capacity or electric power, except under certain limited circumstances. In proceedings pursuant to the Commission's 1983 General Order, the analysis is two-fold. First, the Commission determines whether there is a need, and if so, whether the process used to meet that need was reasonable and in the public interest. It is undisputed that SLEMCO has a need for energy and capacity after March 31, 2025, and no party seriously challenged SLEMCO's process used to meet that need. That is, all parties agreed that the Cooperatives complied with the MBM Order, which provides the structure within which utilities market test supply options to determine which is the lowest reasonable cost solution for the provision of reliable electric service.

As attested by multiple witnesses, the RFP yielded a robust response of 61 unique bids from 23 distinct bidders, including partial requirements bids, renewable opportunities including storage, full requirements bids, and bids with multiple options for SLEMCO's consideration. Mr. Sisung was retained by the Commission to monitor the RFP process to ensure compliance with the MBM Order, he reviewed the RFP, provided comments, met with Daymark on multiple occasions, conducted discovery, and ultimately found the RFP process and results to be reasonable.

Similar to the proceedings in Commission Dockets No. U-32957, U-36133, and U-36135, ELL's concerns are not with the qualitative or quantitative evaluation conducted by Daymark, but on the Cooperatives' reliance on contracts with power marketers that do not own physical capacity in Louisiana, along with the low capacity value of the Beauregard Solar PPA. Thus, ELL argues that the NEM PSA is not in the public interest pursuant to the 1983 General Order. Commission Staff's position is that the NEM PSA should be found to be in the public interest pursuant to the

1983 General Order so long as the aforementioned conditions, which have been agreed to by the Joint Applicants, are met.

NEM PSA

ELL asserts that the Commission should adopt a minimum physical capacity threshold of 90% for its regulated utilities. This would preclude the certification of the NEM PSA, given that it is not currently associated with any identifiable physical generation. In this regard, ELL raised concerns both with the future availability of supply in MISO Zone 9, and the detrimental effects that the lack of identifiable generation will have on transmission planning and potential load shed events. While ELL's concerns are legitimate, we have previously said that a minimum physical capacity threshold requirement is more appropriately considered in a generic rulemaking proceeding where such concerns can be fully vetted, rather than a limited certification proceeding.

We stated in Commission Orders No. U-36133 and U-36135 that a rulemaking proceeding in which all stakeholders are involved is a more appropriate proceeding to consider impacts associated with all of the available and planned resources in the state, anticipated unit retirements, and changes in load forecasts. Further, we do not think it would be appropriate to rely on the draft IRP plans of Cleco Power, LLC and ELL when those plans are the subject of separate proceedings, with numerous other parties. As was pointed out by the Joint Applicants anticipated unit retirements and deactivations that have not yet occurred, are within the control of other entities.

Likewise, there seems to be unanimous agreement that MISO's price signals do not incentivize new generation, something over which MISO has control. Mr. Stewart's testimony illustrates the ability of the market to react to price signals when he discusses the addition of 5.9 GW of capacity in MISO North in the 2023-2024 PRA results versus a shortage of 1.2 GW in the prior PRA. It would be unfair to the Cooperatives to rely on the business plans of other parties to preclude the Cooperatives from taking advantage of the market as it currently exists. As with the previous certification proceedings in Commission Dockets No. U-35927, U-36133, and U-36135, the NEM PSA, even considered in conjunction with those of the other Cooperatives, is not, in and of itself, diminishing resource adequacy in MISO, it is simply replacing a full-requirements contract that currently exists and freeing up existing generation.

Nonetheless, the lack of capacity forecasts performed by the Joint Applicants or their consultants in this proceeding is concerning, and the fact that the excess capacity in MISO is, by all accounts, trending downward, necessitates further Commission consideration of these issues

going forward. Meanwhile, the Joint Applicants' adoption of Commission Staff's conditions and the appropriate amendments to the NEM PSA alleviate resource adequacy concerns insofar as a more robust picture of statewide resource adequacy will be gleaned from ongoing Commission proceedings. Mr. Sisung testified that it was Staff's goal to issue a proposed rule in Docket No. R-36263 in the first quarter of 2023. Therefore, the recommendation in that rulemaking should come before the Commission for consideration in the near future.

In addition, and as ELL has pointed out on numerous occasions, even if there is some minimum capacity obligation established, there is insufficient time for the Cooperatives to build new generation to replace their current full-requirements contracts. Thus, whether the Cooperatives are purchasing from the market on their own behalf or through a wholesale power supplier, it will be necessary to make purchases in order to meet their power needs. In its *Exception to the Proposed Recommendation on Behalf of Entergy Louisiana, LLC,* ELL takes issue with our finding regarding its offer in the RFP, stating that "ELL would have planned to meet the obligation to serve the load of the Cooperatives had it been selected." But ELL does not explain why this would be possible for ELL but not for NEM. We agree with Commission Staff that ELL's position on this issue is inconsistent. To suggest that those purchases should be from a Louisiana-based utility ignores the framework of the MISO market.

It is for these reasons that we believe that approval of the NEM PSA, subject to the conditions set forth by the Commission Staff, and agreed to by the Cooperative, is the best approach at this time, given the likely conclusion of the rulemaking in the near future, and the obligation of Joint Applicants to revise the terms of the NEM PSA to the extent necessary to accommodate the Commission's resource adequacy requirements going forward.

Beauregard Solar PPA

Turning to the Beauregard Solar PPA, Commission Staff takes issue with the contract language that allows for price increases without approval of the Commission, coupled with the fact that there is no flow through of cost reductions from the Inflation Reduction Act. As pointed out by the Joint Applicants in their exception to the Proposed Recommendation, while the Beauregard Solar PPA does allow for both price increases and decreases that are not subject to Commission pre-approval, the terms of the price adjustments are clearly set forth in the PPA and should be subject to quantification soon after an order is issued in this matter. Given that potential cost increases, [redacted], it is

appropriate for the Commission to request quantification of current costs prior to approving the Beauregard Solar PPA.

Joint Applicants also argued in their exception to the Proposed Recommendation that this issue is moot because of testimony by the Cooperatives at the hearing regarding the Cooperatives' agreement to defer to Commission Staff before implementing price increases. However, the PPA does not give the Cooperatives the ability to make this unilateral decision.

Commission Staff's second argument relating to the IRA likewise has merit. We will not go so far as to say that potential savings from the IRA are akin to fuel and capable of a simple pass-through, and we find the case cited by Commission Staff in its exception to the Proposed Recommendation inapplicable, however. In *Anaheim,*[43] it was the utility that was passing through costs to its customers. Here, upon approval of the Beauregard Solar PPA, the Cooperatives will pass through the costs of the contract as written, as that is what they will be legally obligated to pay.

Further, we disagree with the Joint Applicants' argument that disapproval of the PPA on the basis that it does not pass through savings associated with the IRA amounts to retroactive application of the IRA. It is true that the IRA was enacted after the execution of the PPA, but the PPA has not yet been approved by this Commission, and without a quantification of the potential savings and an assurance that those savings will be passed through to the Cooperative, we cannot say that the Beauregard Solar PPA will provide reliable electric service at the lowest reasonable cost since it has not been compared on an apples-to-apples basis with other potential suppliers.

While ELL did not take a position on the Beauregard Solar PPA, ELL's *Memorandum in Response to Exceptions* implies that the Commission should approve the Beauregard Solar PPA since it is the only resource directly adding physical generating capacity in Louisiana. Aside from the pricing issues noted above, no party disagreed with the selection of Beauregard Solar, and given that it will add new generation in Louisiana and will provide economic benefits, the Commission could find that is in the public interest; however, additional pricing information and analysis is needed prior to Commission certification.

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[43] In its exception to the Proposed Recommendation, Commission Staff cited *Anaheim, Riverside, Banning, Colton, and AZ USA, California v. FERC, 669 Fed. 2nd 799 (DC Cir. 1981).*

VI. CONCLUSION

The ALJ Recommendation was considered at the Commission's October 18, 2023 B&E. After discussion, on motion of Vice Chairman Francis, seconded by Chairman Campbell, with Commissioner Lewis concurring, Commissioner Skrmetta opposing, and Commissioner Greene absent, the Commission voted to accept the Final Recommendation of the Administrative Law Judge and Draft Order issued on October 6, 2023. The motion passed 3:1.

IT IS HEREBY ORDERED THAT:

1) SLEMCO has complied with and met the requirements under the Commission's MBM Order;

2) The NEM PSA serves the public convenience and necessity, and should, therefore, be certified as prudent, in accordance with the Commission's 1983 General Order, subject to the following conditions:

    a. Joint Applicants accept all risk of changes in Commission rules, specifically including a potential requirement for owned and/or contracted for generation being procured to meet future capacity needs, without the benefit of grandfathering;

    b. Joint Applicants acknowledge and agree that any future changes made to the [NEM] PSA based on changing regulations is subject to Commission review and approval, including without limitation: at the conclusion of Docket No. R-36263, the Joint Applicants will make a filing with the Commission so that the Commission may consider the impacts of its decision in Docket No. R-36263 on its decision in this docket, on the PSA and whether or not any amendment is required, including but not limited to, changes to the PSA, changes affecting the pricing mechanism for the sale of capacity and/or energy and/or deliverability or reporting requirements, so that the Commission may take any action it deems appropriate;

    c. Joint Applicants retain the obligation to prudently manage the [NEM] PSA;

    d. Joint Applicants agree to annually report to the Commission information related to all decisions made to price and/or procure capacity to meet SLEMCO future load needs, including the information outlined in the pre-filed Direct Testimony of Staff witness Lane Sisung HSPM confidential version on pp. 55-58.

    e. All prudently incurred costs associated with the [NEM] PSAs are deemed eligible for rate recovery by SLEMCO subject to Commission review and further determination at a later date in a separately-docketed rate proceeding coterminous with the expiration of and removal from rates of the costs associated with the current power supplier.

3) The Beauregard Solar PPA is not approved at this time; however, the Commission may determine that the Beauregard Solar PPA serves the public convenience and necessity, and should, therefore, be certified as prudent, in accordance with the Commission's 1983 General Order, upon review of a filing by the Joint Applicants within 60 days of the issuance of this Order, which contains the following:

a. A quantification of the effects of the price increases and/or decreases discussed in finding of fact no. 22;
b. An assessment of the potential savings associated with the Inflation Reduction Act; and
c. A proposal for flowing any identified savings to the Cooperative.

4) This Order is effective immediately.

BY ORDER OF THE COMMISSION
BATON ROUGE, LOUISIANA
November 7, 2023

BRANDON M. FREY
SECRETARY

DISTRICT V
CHAIRMAN FOSTER L. CAMPBELL

DISTRICT IV
VICE CHAIRMAN MIKE FRANCIS

OPPOSED
DISTRICT I
COMMISSIONER ERIC F. SKRMETTA

ABSENT
DISTRICT II
COMMISSIONER CRAIG GREENE

DISTRICT III
COMMISSIONER DAVANTE LEWIS